

Better NII Guide, 19% ROTE the Highlights of a Somewhat Noisy Q1 26

Q1 26 results contained a fair amount of noise across revenue and cost lines, but the underlying picture is one of a mildly stronger banking NII print and ongoing strength in Wealth. On this point, '26E banking NII guidance has been raised to \$46bn (in-line with street). Credit costs contained \$300m of overlays/changed macro + \$400m associated with a UK fraud. ROTE = 19% ex notable items and shares on 1.9x spot TBV.

Revenue strength leads results. HSBC's Q1 26 adjusted pre-tax profit was in line with consensus (consensus for reported results did not reflect certain items related to disposals). On revenue, banking net interest income (NII) of \$11.3bn was in line (NII included a one-off which lowered the result by \$100m) with non-interest income 2% ahead on what looks like a better IB performance and a gain in the corporate centre. Wealth was strong, up 15% YoY with balances +12% YoY. Insurance manufacturing was similarly robust, +19% YoY with CSM balance +19% YoY.

Credit costs assumption changes, overlays, UK fraud exposure. Credit costs missed by 9% as the group took \$300m of overlays and changed macro assumptions related to Middle East. There was an unexpected \$400m credit charge related to a UK fraud. Management indicate a modelled stress scenario related to Middle East = mid-high single digit impact on PBT in '26 across revenue and credit costs, absent of mitigation. Clearly not a central case, this reminds of last year's stressed assessment of the tariff related scenarios.

Cost miss looks variable pay related. Costs were also a 4% miss on what looks like a circa \$200m YoY pick up in variable pay which drove constant FX costs +3% YoY against cost growth ex variable pay of 2%.

Guides better, if close to consensus. NII guidance improves to \$46bn for '26E (from > 25%). 1% cost growth guide unch'd. Credit cost charge moves up 5bps to 45bps, largely reflecting Q1 top ups on our assessment.

ROTE 19%, ex notables, with 17% or better guidance over '26-'28 maintained. Shares on 1.9x spot TBV/share.

Adjusted revenues +8% QoQ/ +7% YoY (+2% vs cons): Banking NII was reported at \$11.3bn in 1Q, which was in line with consensus and +6% YoY. Banking NII was -4% QoQ primarily due to lower HIBOR in 1Q and lower day count. Group NIM stood at 160bps in 1Q (-4bps QoQ and +1bps YoY). Within non-interest income, Wealth was a standout (+15% YoY), with particular strength in Investments (+21%). Elsewhere, Insurance (+19% YoY) and Private Banking (+9% YoY) were areas supportive to revenue growth.

1Q26 credit charge of \$1,301mn (+9% higher vs cons). The higher credit charge this quarter is attributed to a \$0.4bn charge related to an exposure to a UK financial sponsor. A \$0.3bn overlay was also taken in relation to the ME conflict and updated economic guidance. We calculate a **1Q cost of risk of 53bps**. Management have updated guidance where they now expected **FY26 CoR of c.45bps** (previous guidance c.40bps).

CET1 of 14% (in line with cons), with moving parts this quarter including retained profits (+90bps) offset by strategic initiatives (-110bps), dividend (-50bps) and RWA inflation (-20bps). The strategic initiatives primarily driven by Malta disposal loss and Hang Seng privatisation. **RWAs of \$884bn** -1%

FLASH NOTE

RATING	HOLD
PRICE	1,359.40p*
PRICE TARGET % TO PT	1,120.00p -18%
52W HIGH-LOW	1,411p - 830p
FLOAT (%) ADV MM (USD)	96.5% 352.63
MARKET CAP	£236.5B \$320.5B
TICKER	HSBA LN

*Prior trading day's closing price unless otherwise noted.

Exhibit 1 - HSBC 1Q26

HSBC 1Q26	Actuals	Vs Cons	Growth Rates
PnL [adj] (£m)	1Q25	Cons	QoQ YoY
Total Income	19,125	+2%	+8%
Total Opex	-8,543	+4%	-4%
PPOP	10,582	+1%	+20%
ECL Charges	-1,301	+9%	+44%
Profits from Assoc & JVs	774	+7%	+16%
PBT	10,055	+0%	+17%
PnL [stat] (£m)			
Total Income	18,624	+1%	+14%
Total Opex	-8,721	+4%	-7%
PBT	9,376	-2%	+38%
Balance Sheet (\$bn)			
Loans	1,002	+1%	+1%
Deposits	1,782	-1%	-0%
RWAs	884	-1%	-1%
Franchise Indicators			
ROTE [stat] %	17.3%	-40bps	+550bps
Cost of Risk %	0.53%	+4bps	+17bps
Cost Income [stat] %	47%	+1.2ppts	-10.2ppts
CET1 %	14.0%	-	-90bps

Source: Company reports, Jefferies estimates

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lower versus consensus and -1% lower QoQ (+4% YoY). The increase in RWAs was mainly driven by higher corporate lending.

TNAV: TNAVps of 946c, up +4% YoY (in line with cons), down -18c QoQ, with a -3% YoY reduction in the share count.

DPS: The company announced a \$0.10/share Q1 ordinary DPS accrual.

Variance Tables in Exhibit 1 and Exhibit 2. Call is at 7:45am UKT

Exhibit 2 - HSBC Variance Table vs Estimates

HSBC Variance Table										Co. Cons		Growth Rates	
PnL [adj] (£m)	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26	Cons	Δ	QoQ	YoY
Total Income	17,020	16,701	17,209	16,504	17,859	17,657	17,900	17,723	19,125	18,682	+2%	+8%	+7%
Total Opex	-8,101	-8,113	-8,098	-8,498	-7,923	-8,268	-8,380	-8,905	-8,543	-8,179	+4%	-4%	+8%
Pre-provision Op Profit	8,919	8,588	9,111	8,006	9,829	9,389	9,520	8,818	10,582	10,503	+1%	+20%	+8%
ECL Charges	-720	-346	-986	-1,362	-878	-1,065	-1,008	-901	-1,301	-1,194	+9%	+44%	+48%
Profits from Assoc & JVs	769	857	607	679	813	1,838	591	669	774	723	+7%	+16%	-5%
PBT	8,968	9,099	8,732	7,323	9,766	10,162	9,103	8,586	10,055	10,032	+0%	+17%	+3%
PnL [stat] (£m)	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26	Cons	Δ	QoQ	YoY
Total Income	20,752	16,540	16,998	11,564	17,649	16,473	17,788	16,364	18,624	18,485	+1%	+14%	+6%
- Of which Banking NII	11,266	10,938	10,867	10,904	10,599	10,714	11,049	11,722	11,253	11,276	-0%	-4%	+6%
Total Opex	-8,151	-8,145	-8,143	-8,604	-8,102	-8,920	-10,076	-9,330	-8,721	-8,426	+4%	-7%	+8%
Pre-provision Op Profit	12,601	8,395	8,855	2,960	9,547	7,553	7,712	7,034	9,903	10,059	-2%	+41%	+4%
ECL Charges	-720	-346	-986	-1,362	-876	-1,065	-1,008	-901	-1,301	-1,194	+9%	+44%	+49%
Profits from Assoc & JVs	769	857	607	679	813	838	591	669	774	723	+7%	+16%	-5%
PBT	12,650	8,906	8,476	2,277	9,484	7,326	7,295	6,802	9,376	9,588	-2%	+38%	-1%
Balance Sheet (\$bn)	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26	Cons	Δ	QoQ	YoY
Loans	933	938	969	931	945	982	983	988	1,002	995	+1%	+1%	+6%
Deposits	1,570	1,594	1,661	1,655	1,666	1,719	1,737	1,787	1,782	1,798	-1%	-0%	+7%
RWAs	833	835	864	838	853	887	879	889	884	894	-1%	-1%	+4%
Per Share Data (\$ cents)	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26	Cons	Δ	QoQ	YoY
EPS [stat]	54	35	34	1	39	26	28	28	41	41	-	+49%	+5%
TBVPS	867	835	900	861	908	917	922	964	946	942	+0%	-2%	+4%
DPS	31	10	10	36	10	10	10	45	10	10	-	-78%	-
Shares [p/e] (billions)	18.69	18.33	17.98	17.92	17.67	17.40	17.18	17.14	17.16	17.15	+0%	+0%	-3%
Franchise Indicators	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26	Cons	Δ	QoQ	YoY
ROTE [stat] %	25.8%	16.3%	15.5%	0.5%	17.9%	11.5%	12.2%	11.8%	17.3%	17.7%	-40bps	+550bps	-60bps
Cost of Risk %	0.31%	0.15%	0.41%	0.57%	0.38%	0.44%	0.41%	0.36%	0.53%	0.49%	+4bps	+17bps	+15bps
Cost Income [stat] %	39%	49%	48%	74%	46%	54%	57%	57%	47%	46%	+1.2ppts	-10.2ppts	+0.9ppts
Cost Income [adj] %	48%	49%	47%	51%	45%	47%	47%	50%	45%	44%	+0.9ppts	-5.6ppts	+0.1ppts
CET1 %	15.2%	15.0%	14.6%	14.9%	14.7%	14.6%	14.5%	14.9%	14.0%	14.0%	-	-90bps	-70bps
Buybacks [declared] (\$m)	3,000	3,000	3,000	2,000	3,000	3,000	-	-	-	-			

Source: Company reports, Jefferies estimates

Company Description

HSBC Holdings

HSBC Holdings plc provides banking and financial products and services in the United Kingdom and internationally. It operates through Retail Banking and Wealth Management, Commercial Banking, Global Banking and Markets, and Global Private Banking businesses.

Company Valuation/Risks

HSBC Holdings

Our price target is based on Gordon Growth framework (Ke 11%; TG 2%). Risks revolve around CET1 capital position of the bank, capital distribution, macro, regulation and operational execution.

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(Article 3(1)e and Article 7 of MAR)

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- HSBC Holdings PLC (HSBA LN: p1,359.40, HOLD)



Notes: Each box in the Rating and Price Target History chart above represents actions over the past three years in which an analyst initiated on a company, made a change to a rating or price target of a company or discontinued coverage of a company.

Legend:

I: Initiating Coverage

D: Dropped Coverage

B: Buy

H: Hold

UP: Underperform

Distribution of Ratings

			IB Serv./Past12 Mos.		JIL Mkt Serv./Past12 Mos.	
	Count	Percent	Count	Percent	Count	Percent
BUY	2181	61.98%	368	16.87%	108	4.95%
HOLD	1181	33.56%	109	9.23%	20	1.69%
UNDERPERFORM	157	4.46%	1	0.64%	1	0.64%

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